The labour market does not justify the US rate hikes priced for 2027

Shrikrrit Bhatter | 23 October 2026 | Macro research note

View	The Fed hikes in December as priced, but the labour market gives it no reason to keep hiking in 2027. Hiring is at breakeven and wage growth has slowed below the pace consistent with 2% inflation. Futures price about two more hikes in 2027, while the FOMC median and most economists price none.
Trade	Receive December 2027 against December 2026 by buying the December 2027 three month SOFR future and selling the December 2026 future one for one, which pays $25 per bp per pair. The spread isolates 2027 and is neutral to the December decision itself.
Levels	The market prices about 50bp of hikes for 2027. The target is 15bp and the stop is 70bp, which gives a reward to risk ratio of about 1.75 to 1.
Entry	Enter after the September core PCE release on 29 October if three month annualised core PCE stays below 3%. Then add on payroll day selloffs driven by a strong headline while unemployment is flat or higher.
Catalysts	The FOMC meets on 28 October, September PCE is released on 29 October and the Q3 ECI follows on 30 October. October payrolls are due on 6 November, November payrolls on 4 December and the next FOMC decision on 9 December.

1. What the market prices

The Fed raised the target range to 3.75% to 4.00% on 16 September in its first hike since 2023, and the effective rate is now 3.88%. Three groups disagree about how far it goes.

Source	December 2026	Path after December
Fed funds futures (20 to 21 October)	About 85% to 90% chance of a hike priced	About 4.64% by December 2027 after roughly two more hikes
FOMC median (September projections)	One more hike to 4.1% by the end of 2026	Held at 4.1% through the end of 2027
Economists (Reuters poll, 16 to 20 October)	Hike expected by 100 of 100	Nearly 60% see the peak at 4.00% to 4.25%

The December hike is consensus. The disagreement is about 2027, where the market prices about 50bp more than the Fed and most forecasters. The Fed's own projections explain why its path stops. It expects core PCE inflation to fall from 3.4% in 2026 to 2.5% in 2027 with unemployment steady at 4.1%. Something has to justify the extra hikes the market prices. Inflation could be one potential reason but this note tests whether the labour market can.

2. What the labour data says

Hiring is slow but it is running at breakeven rather than below it. Payrolls have averaged about 40k a month over the past year and 66k over the last six months. Lower immigration has cut the pace needed to hold unemployment steady to 15k to 87k a month (Bick, St. Louis Fed, March 2026). Unemployment has fallen from a 4.5% peak in November 2025 to 4.2%, which is above the Fed's own projection of 4.1% for the end of the year. The Fed itself says job gains "have kept pace with the workforce". That describes a balanced labour market and not a tightening one.

The other indicators point the same way. Initial claims are at 198k against a 2018 to 2019 average of 219k, continuing claims are at 1.72m against 1.72m and JOLTS openings are at 7.08m against 7.13m. ADP shows the same pace of hiring as BLS. Once the January population resets are removed, the household survey agrees with payrolls at 72k against 66k a month over the last six months.

If anything, the first prints flatter the labour market. Using every historical release since 2000, first prints have been revised down by 19k a month when job growth is slowing ($t = -2.1$) and by 92k in recessions, and almost all of this comes through the annual benchmark. The same test with regimes known only in real time gives a downward revision of 16k ($t = -1.4$). The last 12 months fit this pattern because first prints summed to 737k while the same months now total 496k.

Wages are not passing labour pressure into prices. Average hourly earnings are up 3.0% on a year ago compared with 3.8% a year earlier. Over the last three months they have risen at an annualised pace of only 2.4%, which is below the 3.0% to 3.5% consistent with 2% inflation once productivity grows at 1% to 1.5% a year. The Employment Cost Index is not distorted by shifts in the mix of jobs, and it has slowed from 3.6% to 3.1% in Q2. Core PCE inflation is 3.0% on a year ago but has run at only 2.0% annualised over the last three months.

A labour market growing at breakeven adds no pressure that would need two more hikes, especially with unemployment above the Fed's projection, wages cooling and revisions skewed down. If the market is right about 2027, it will be because of inflation from outside the labour market and not because of jobs.

3. How payroll days move the front end

Across 239 releases since 2005, I regress the release day change in the 2 year yield on three drivers. These are the headline against its prior three month trend, the revisions to the two prior months and the change in unemployment.

Driver of the release day 2 year move	bp per unit	t statistic
Headline against trend per 100k (3.3 over the last 5 years)	1.8	2.6
Revisions to the two prior months per 100k	2.8	4.1
Unemployment rate per 0.1pp rise	0.0	0.1

- **The market trades the noisiest number.** The 90% sampling interval on a monthly payroll change is plus or minus 122k, which is wider than the whole breakeven range. Even so, the headline moves the 2 year yield while the unemployment rate does not.
- **Consensus forecasts sit above breakeven, so misses are built in.** September consensus was 89k against an actual print of 29k. The 2 year yield still rose 5bp on the day from 4.78% to 4.83% because inflation dominated, which shows how little a weak headline now moves the path.
- **Release day moves do not reverse over the following 10 trading days, so this is not a fade.** The edge comes from using headline driven selloffs as better entry levels for a view that rests on unemployment and the 2027 path.

4. Playbook for the next two payroll reports

The estimated 2 year moves use the headline sensitivity of 3.3bp per 100k from the last five years against a three month trend of 51k. Revisions add to these moves at 2.8bp per 100k.

Scenario on 6 November and 4 December	Estimated 2 year move	Read	Action
Headline below 25k with unemployment at 4.3% or higher	1bp to 2bp lower and more with downward revisions	The labour market is softening and the Fed stops after December	Hold because the spread should gain most
Headline of 25k to 90k with unemployment at 4.1% to 4.2%	Within 1bp either way	The labour market is balanced at breakeven	Hold
Headline above 120k with unemployment unchanged	2bp to 3bp higher	The strength is noise above breakeven and not tightening	Add at better levels
Any headline with unemployment at 4.0% or lower	Small on the day	The labour market is tightening and the view is wrong	Exit

5. The trade and what would make it wrong

I use the spread rather than an outright receiver because selling the December 2026 contract hedges the December hike and any near term inflation shock. The position therefore only makes money if hikes beyond December are priced out. A weak headline helps it, and a strong headline with flat unemployment is where I add.

The payoff is asymmetric. Starting from about 50bp of 2027 hikes, the target of 15bp gains 35bp or $875 per pair. The stop at 70bp loses 20bp or $500 per pair.

I would exit and change the view in any of three cases.

- Unemployment falls below 4.0% or the three month payroll average rises above 150k, because that would mean the labour market is tightening rather than balanced.
- Three month annualised core PCE inflation rises above 3.0% from 2.0% now, because that would mean inflation sets the path and the market is right.
- The FOMC signals hikes in 2027 in its December projections.

The main risk is inflation because that is the reason the Fed is hiking, and the warning sign is already visible. Core CPI rose 0.29% and 0.33% in the last two months, which is 3.4% annualised over three months, even as wages slowed. If that pickup carries into core PCE, the 2027 hikes will happen regardless of the labour market. The second risk is that the CBO output gap of 1.4% points to far higher rates even though the unemployment gap is close to zero. This trade rests on unemployment based slack, so the market's path becomes more likely if the Fed starts to cite the output gap.

Data and code *for every labour, wage, inflation and market reaction figure are at github.com/Shrikrrit/us-payrolls-divergence and use BLS, BEA, ADP, Federal Reserve and NBER data. Policy and pricing come from the FOMC statement of 16 September 2026, CME FedWatch on 20 October, VT Markets on 21 October and the Reuters poll of 16 to 20 October.*